

Member ID: _____

Time: _____

Rank: _____



COLLEGE ACCOUNTING (105)

STATE 2022

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (39 points)

Inventory Methods _____ (60 points)

Journal Entries _____ (64 points)

TOTAL POINTS _____ ***(193 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Select the letter that *best* answers the question.

1. Which of the following is *not* true for a retailer using perpetual inventory system?
 - a. When merchandise is purchased FOB shipping point, the buyer assumes the risk of any damage in transit.
 - b. After a physical inventory count, the retailer credits the Inventory account for any missing inventory.
 - c. When the retailer returns defective merchandise to the manufacturer, they credit Purchase Returns.
 - d. The Cost of Goods Sold account is closed at the end of the year with a debit to Income Summary.
2. Under which method of inventory cost flows is the cost flow assumed to be in the reverse order in which the expenditures were made?
 - a. First-in, first-out
 - b. Last-in, first-out
 - c. Average cost
 - d. Lower of cost or market
3. Bears Company uses the LIFO inventory costing method for both its tax reporting purposes and its financial reporting purposes. In its footnotes, Bears Company is required to report the amount at which inventories would have been reported under FIFO method. The difference between these two numbers is commonly referred to as what?
 - a. LCM disclosures
 - b. LIFO holding gain
 - c. LIFO liquidation
 - d. LIFO reserve
4. Which of the following costs would *not* be included in inventory?
 - a. Freight
 - b. Sales Tax
 - c. Shipping insurance
 - d. Commissions paid to salespersons
5. Accounts receivables are also called _____ receivables.
 - a. trade
 - b. sales
 - c. gross
 - d. net

6. The _____ is the amount of receivables expected to be collected.
 - a. Allowance for Doubtful Accounts
 - b. Bad Debt Expense
 - c. Net Realizable Value
 - d. Write-off

7. To capitalize a cost means to _____.
 - a. debit the appropriate asset account
 - b. credit the appropriate asset account
 - c. record it as a liability
 - d. expense the amount

8. For a nonmanufacturing company, depreciation expense is classified as a(n) _____.
 - a. Inventory
 - b. Non-current asset
 - c. Selling or administrative expense
 - d. Current asset

9. If a company fails to make an adjusting entry to estimate doubtful accounts, which error occurs?
 - a. Understates owners' equity
 - b. Understates assets
 - c. Overstates net income
 - d. Overstates expenses

10. A retailer that makes credit card sales _____.
 - a. absorbs any losses on uncollectible credit card accounts
 - b. is charged a fee ranging from 1% to 5% of the amount of each credit card sale
 - c. records such sales with a credit to Accounts Payable
 - d. is not subject to sales tax on those transactions

11. After writing off a customer's account, a company using the allowance method subsequently collected the account in full. It should _____.
 - a. Debit Cash and credit Accounts Receivable
 - b. Debit Cash and credit Miscellaneous Income
 - c. Debit Accounts Receivable and credit Bad Debt Expense
 - d. Debit Bad Debt Expense and credit Accounts Receivable

12. Land that was purchased as an investment (not used in the business), would be classified as what type of account?
- Current Asset
 - Property, Plant, and Equipment
 - Intangible Asset
 - Long-term Investment
13. Which of the following states that the business should use the same accounting methods from period to period?
- Conservatism
 - Consistency
 - Going Concern
 - Disclosure
14. Which of the following inventory costing methods yields the highest net income during a period of rising inventory costs?
- First-in, first-out
 - Last-in, first-out
 - Last-in, last-out
 - Moving average
15. Which of the following statements is true?
- Notes receivable usually have longer collection terms than accounts receivable.
 - Notes receivable are always classified as current assets.
 - Accounts receivable are liabilities.
 - Accounts receivable are more liquid than cash.

Short Answer

1. In 2021, Jets Company earned a gross profit of \$10,832 million on net sales of \$33,695. What is Jets' gross profit percentage for 2016?

2. The following data refer to Cardinals Company's ending inventory:

Item code	Quantity	Unit Cost	Unit Market
Small	100	\$228	\$232
Medium	420	152	176
Large	600	168	176
Extra-Large	220	268	256

How much is the inventory if the lower of cost or market rule is applied to each item of inventory?

3. For 2021, Buccaneers Company reported sales of \$1,800,000, cost of goods sold of \$1,200,000, and a gross profit of \$600,000. Buccaneers' inventory at January 1, 2021 was \$340,000; the inventory at December 31, 2021 was \$500,000. What is Buccaneers' 2021 inventory turnover ratio?

4. The records of Vikings Inc. at the end of the year included the following.

Item	Amount
Merchandise sold, in transit, shipped f.o.b. destination	\$240,000
Merchandise sold, in transit, shipped f.o.b. shipping point	320,000
Merchandise purchased, in transit, shipped f.o.b. destination	100,000
Merchandise purchased, in transit, shipped f.o.b. shipping point	190,000

What amount would Vikings Inc. include on its year-end balance sheet for inventory?

5. The following aging information pertains to Ravens' accounts receivable at December 31, 2021:

Days Outstanding	Amount	Estimated % Uncollectible
0-30	\$420,000	2%
31-60	140,000	5%
61-120	100,000	10%
Over 120	120,000	70%

Ravens' December 31, 2021 balance in Allowance for Doubtful Accounts was \$4,000 credit.

a) What amount of Allowance for Doubtful Accounts should Ravens' report on its December 31, 2021 balance sheet?

b) What will be the net realizable value of Accounts Receivable on Ravens' December 31, 2021 balance sheet

c) What amount of Bad Debt Expense should Ravens' report on its income statement ending December 31, 2021?

6. On December 31, 2021 before adjusting entries, Accounts Receivable for Cowboys Company had a debit balance of \$200,000, and the Allowance for Doubtful Accounts had a credit balance of \$6,000. Credit sales for the year were \$1,600,000.

a) If credit losses are estimated at 1% of credit sales, what amount of Bad Debt Expense will be reported on the December 31, 2021 income statement?

b) If credit losses are estimated at 1% of credit sales, what amount of will be the balance of Allowance for Doubtful Accounts will be reported on the December 31, balance sheet?

7. On January 1, 2021, the accounts receivable balance for Eagles Company was \$28,000 and the balance in the allowance for doubtful accounts was \$2,800 on the normal side. On that day, a \$1,200 doubtful account was written-off. The net realizable value of accounts receivable immediately after the write-off is:

8. During 2021, Rams Company's credit sales were \$524,000, and its cash collections from credit customers were \$500,000. Also, \$7,200 in doubtful accounts receivable were written off (using the allowance method) during the year. On December 31, 2021, the company's Accounts Receivable balance was \$100,000. What must have been the balance of accounts receivables on January 1, 2021?

9. Colts Corp. sold goods, with a selling price of \$3,400, for cash. The state sales tax rate is 8%. What amount is credited to the Sales Revenue account? (Round calculations to the nearest dollar.)

10. On January 1, 2022, Broncos Inc. acquired a machine for \$1,100,000. The estimated useful life of the asset is five years. Residual value at the end of five years is estimated to be \$61,000. Calculate the depreciation expense per year using the straight-line method.

Problem 1 (60 Points)

The following data represent the beginning inventory and, in order of occurrence, the purchases and sales of Falcons Inc. for an operating period.

Jan. 1	On hand, 10 units at \$80 each		
	<u>Purchases</u>		<u>Sales</u>
Jan. 8	25 units at \$92 each	Jan. 4	8 units @ \$300 each
22	50 units at \$104 each	15	20 units @ \$300 each

<i>FIFO</i>	Purchases			COGS			Inventory on Hand		
Date	Qty	Unit Cost	Total Cost	Qty	Unit Cost	Total Cost	Qty	Unit Cost	Total Cost
Totals									
<i>LIFO</i>	Purchases			COGS			Inventory on Hand		
Date	Qty	Unit Cost	Total Cost	Qty	Unit Cost	Total Cost	Qty	Unit Cost	Total Cost
Totals									

Problem 2 (64 Points)

Packers Inc. had the following transactions in February. Prepare the appropriate journal entries on the General Journal paper below, assuming Packers uses a perpetual inventory method, records both purchases and sales of inventory using the gross method, and records all sales FOB shipping point.

Feb. 5	Purchased inventory on account for \$3000, credit terms 1/15, EOM
Feb. 7	Sold \$525 of merchandise on account, credit terms 4/10, n/30, with a sales tax rate of 8%. Cost of the goods is \$250.
Feb. 9	Paid \$50 for transportation of goods purchased on February 5
Feb. 10	Returned \$300 of defective merchandise to the seller from February 5 purchase
Feb. 15	Received payment from customer for the amount due from the February 7 sale
Feb. 18	Paid for goods purchased on February 5.

General Journal			
Date	Account	Debit	Credit